Case Study: UPI / Online Payment Fraud

UPI (Unified Payments Interface) and online payment fraud is a cybercrime where scammers trick users into authorizing transactions or revealing sensitive information (like UPI PINs or OTPs), leading to unauthorized money transfers.

In a common scenario, a college student named Ananya posted an item for sale online. A fraudster pretended to be a buyer and said they would “send money through UPI.” Step-by-step, the scam worked like this:

(1) the fraudster asked for Ananya’s UPI ID or phone number,

(2) instead of sending money, they sent a “collect/request money” request,

(3) they pressured Ananya to approve it quickly, claiming it was required to “receive” payment,

(4) Ananya entered her UPI PIN, and

(5) money was immediately debited from her bank account.

Such fraud usually targets students, first-time UPI users, and people urgently trying to sell items, pay bills, or receive refunds. Victims may lose savings, face stress and embarrassment, and spend weeks filing complaints with the bank and cybercrime portal. In some cases, accounts are temporarily frozen during investigation, disrupting daily payments. The long-term consequence is reduced trust in digital payments and increased risk of identity misuse if personal details were shared.